

Qualification Programme
Module 3 – Business Economics
Report on Candidates' Performance
(December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

This paper consisted of 45 multiple-choice questions. Candidates had one hour and forty-five minutes to complete the paper. The questions of this paper related broadly to the following Principal Learning Outcomes:

- (a) Explain the features of economic environment and define economic concepts;
- (b) Apply the fundamental principles of microeconomic theory;
- (c) Apply the fundamental principles of macroeconomic theory;
- (d) Explain the key concepts of statistical analysis; and
- (e) Apply techniques of statistical analysis.

The multiple-choice questions in this paper were divided into two broad categories, which were worth 1 to 2 marks each:

- Knowledge-based questions; and
- Application-based questions.

General Comments

The average marks (in percentage) scored by candidates for questions of the topic areas are as follows:

(a) Explain the features of economic environment and define economic concepts	62.2%
(b) Apply the fundamental principles of microeconomic theory	75.2%
(c) Apply the fundamental principles of macroeconomic theory	55.9%
(d) Explain the key concepts of statistical analysis	66.7%
(e) Apply techniques of statistical analysis	66.8%

The average marks (in percentage) scored by candidates for the two broad categories of questions are as follows:

• Knowledge-based questions	68.7%
• Application-based questions	64.6%

In general, the candidates' performance in this session was satisfactory. Candidates exhibited competence in applying the fundamental principles of microeconomic theory, explaining the key concepts of statistical analysis, and applying techniques of statistical analysis. However, their proficiency in explaining the features of economic environment and defining economic concepts, and applying the fundamental principles of macroeconomic theory was weaker.

Specific Comments

In this session, candidates demonstrated weakest performance in questions covering the following topics:

- Explain what economics is and define the economic concepts of:
 - Scarcity
 - Choice
 - Opportunity cost
 - Marginal analysis
- Calculate and interpret the following index numbers:
 - Price indices and inflation
 - Quantity indices
- Describe fiscal and monetary policies and illustrate how they help achieve macroeconomic goals

Specifically, candidates encountered difficulties with the specialised topic of calculating and interpreting price indices. It appears that candidates may not have sufficiently covered the whole syllabus in depth.